DE–6025 **11**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

First Semester

PRINCIPLES OF BANK MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What should be the environment for effective bank management?

2. What do you mean by organizational planning and profit planning?

3. What is MBO in banks?

4. What are the segmentation variables in banks?

5. Distinguish between delegation and decentralization.

6. Explain Motivation Theory X in brief

7. What are the essentials of controlling in banks?

8. Explain the powers of the RBI in the inspection of bank branches.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the functions of bank management.

10. Explain the process of decision making in banks.

11. What are the features of different organizational structures of a banks?

12. Explain different leadership styles in banks.

13. What are the factors that determine profitability of a bank?

14. Explain different methods of performance appraisal in banks.

15. Explain the procedure for the selection and recruitment of bank employees.

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DE–6026 **12**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

First Semester

ORGANISATIONAL BEHAVIOUR

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the basic elements of organisational behaviour.

2. What is the importance of motivation in an organisation?

3. How will you attain group cohesiveness?

4. Bring out the features of various styles of leadership.

5. What are the principles of communication?

6. Enlist the sources of stress.

7. State the steps to attain an organisational effectiveness.

8. What are the interventions for an organisational development?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the various approaches of organisational behaviour.

10. Discuss the importance of perception for an effective organisational behaviour.

11. How will you measure the personality of an individual to develop an organisation?

12. State the barriers in the process of communication. Also suggest measures to overcome them.

13. How will you handle power for the development of an organisation?

14. Describe the approaches of organisational culture.

15. Explain the causes for an organisational change. How will you manage it successfully?

DE–6027 **13**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

First Semester

MANAGERIAL ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Highlight the scope of managerial economics.

2. How are business decisions classified?

3. What are marginal revenue and incremental revenue?

4. What are the determinants of elasticity of demand?

5. Mention the cost-output relationship in the short run.

6. What are the uses of BEP?

7. Explain the importance of national income in an economy.

8. What is the significance of differential pricing?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Analyse the different phases in business cycle.

10. Explain the role of managerial economist.

11. Explain different types of elasticity of demand with illustration.

12. Discuss different types of pricing with their suitability.

13. What are the different methods of profit forecasting ?

14. Explain the structure of Balance of Payment.

15. What are the economies and dis–economies of scale?

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DE–6028 **14**

DISTANCE EDUCATION

M.B.A. (B&F) DEGREE EXAMINATION, MAY 2013.

First Semester

FINANCIAL SERVICES AND INSTITUTIONS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Enlist the functions of financial services.

2. What are the fund based financial services?

3. Discuss the merits of venture capital.

4. How will you select a Mutual Fund Scheme?

5. What do you mean securitisation?

6. State the role of a merchant banker in Merger and Acquisition.

7. What do you mean by bill discounting?

8. What are the limitations of Non Banking Finance Companies?

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the various facets of Indian Financial service industry.

10. What are the features of lease financing? Discuss its merits and limitations.

11. Explain the mechanism of credit cards.

12. Discuss the functioning of merchant banker in the new issue management.

13. Who are the credit rating agencies in India? Evaluate their functioning.

14. Discuss the role of NBFCs in 'India'.

15. Explain the various types of factoring.

DE–6029 **15**

DISTANCE EDUCATION

M.B.A. (B&F) DEGREE EXAMINATION, MAY 2013.

First Semester

BUSINESS LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the rules relating to acceptance?

2. Explain the features of a contract of indemnity.

3. Discuss the duties of an agent under the Indian Contract Act.

4. Who is an unpaid seller? What are his rights and duties?

5. What are the objectives of the Consumer Protection Act, 1986?

6. What are the different kinds of partners?

7. Explain the essential elements of a contract of insurance.

8. Explain the nature of a joint stock company.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Discuss the various remedies available for breach of contract.

10. Discuss the rights and duties of bailor and bailee.

11. Explain the structures of consumer protection councils in Tamil Nadu.

12. Explain the rules regarding transfer of property under the sale of good act.

13. Discuss the rights, duties and liabilities of partners in a partnership firm.

14. Define marine insurance. Explain the different types of marine policies.

15. Describe briefly the different kinds of meetings of companies.

DE–6030 **21**

DISTANCE EDUCATION

M.B.A. (B&F) DEGREE EXAMINATION, MAY 2013.

Second Semester

FINANCIAL ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define accounting. What are its functions?

2. Explain the various accounting conventions.

3. What is trial balance? Bring out the objectives of preparing the trial balance.

4. From the following list of balances, prepare a Trial Balances as on 31.3.2010:

	Rs.
Capital	1,00,000
Drawings	18,000
Motor Van	25,000
Interest paid	900
Purchases	75,000
Wages	3,000
Commission received	7,500
Bank balance	20,000

	Rs.
Building	15,000
Furniture	7,500
Loan from Arun	15,000
Sales	1,00,000
Stock	25,000
Salaries	15,000
Debtors	28,100
Creditors	10,000

5. Prakash keeps his books by the 'Single entry method'. His position on 31.12.2010 and 31.12.2011 was as follows:

	2010	2011
	Rs.	Rs.
Cash in hand	250	300
Cash at bank	2,750	2,200
Stock in trade	21,000	18,000
Sundry debtors	7,500	12,000
Fixtures and Fittings	1,750	1,575
Machinery	15,000	25,000
Sundry Creditors	18,000	23,000

During the year Prakash introduced Rs.5,000 as further capital and withdrew Rs.750 per month.

From the above, prepare a statement showing the profit or loss made by him for the year ended 31.12.2011.

6. Present the Profit and Loss Account and Balance Sheet of a Bank with imaginary figures as per the new forms.

7. List out any three differences between absorption and external reconstruction.

8. What are the advantages which a businesshouse reaps by computerising their accounts.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State and explain the various accounting concepts.

10. The following is the Trial Balance of D Ltd., as on 31.03.2010.

	Rs.		Rs.
Stock	75,000	Purchases returns	10,000
Purchases	2,45,000	Sales	3,40,000
Wages	30,000	Discount	3,000
Carriage inwards	950	P and L Appropriation A/c	15,000
Furniture	17,000	Share capital	1,00,000
Salaries	7,500	Creditors	17,500
Rent	4,000	General reserve	15,500
Sundry expenses	7,050		
Dividend for 1999-2000	9,000	Bills payable	7,000
Debtors	27,500		
Plant and Machinery	29,000		
Cash and Bank	46,200		
Patents	4,800		
Bills receivable	5,000		
	5,08,000		5,08,000

Prepare final accounts after adjusting the following:

(a) Stock on 31.3 .2010 Rs. 88,000

(b) Depreciate plant and machinery at 15% Furniture at 10% and patent at 5%.

(c) Outstanding rent Rs.800 and outstanding salaries Rs. 900.

(d) Make a provision for bad debts amounting to Rs. 510.

11. From the following information, prepare statement of affairs and ascertain Profit and loss made during the year 2010.

	1.1.2010	31.12.2010
Cash in hand	100	80
Cash at bank	300	320
Stock in trade	2,200	2,240
Bills receivable	150	180
Bills payable	120	90
Sundry crs	2,400	2,100
Furniture	300	22
Machinery	1,600	2,000
Sundry debtors	1,050	1,840

During the year, he introduced additional capital in the business Rs.300 and withdrew Rs.720 for private use. Charge interest on capital at 6% per annum, write off Rs.40, for Bad debts and create a reserve at 5% on debtors for bad debts.

12. A Ltd and B Ltd. have agreed to amalgamate. A new company C Ltd. has been formed to take over the combined concerns as on 31st December 2010. After negotiation, the assets of the two companies have been agreed as shown in the following sheet.

Balance Sheets

Liabilities	A Ltd. Rs.	B Ltd. Rs.	Assets	A Ltd. Rs.	B Ltd. Rs.
Share capital in Rs. 10 each	5,00,000	10,00,000	Land and Building	3,00,000	5,00,000
Reserve Fund	50,000	–	Plant and Machinery	2,50,000	2,00,000
Profit and Loss	50,000	50,000			
Creditors	50,000	80,000	Goodwill	50,000	-
			Patents	–	1,10,000
			Stock	20,000	1,50,000
			Sundry debtors	20,000	1,20,000
			Bank	10,000	50,000
	6,50,000	11,30,000		6,50,000	11,30,000

The assets and liabilities will be taken over by C Ltd. It issued 50,000 shares of Rs. 10 each to the public for raising working capital. Assuming purchase price is to be settled in fully paid shares of Rs.10 each, compute the purchase consideration payable. Give journal entries and balance sheet in the books of 'C' Ltd.

13. The accounts of the ABC Ltd., showed an amount of Rs.1,00,000 to the credit of Profit and loss a/c on 31st March 2010 out of which the Directors decided to place Rs.20,000 to general reserve and Rs. 5,000 to debenture redemption fund. At the annual general meeting held on 15th June 2009, it was decided to place Rs.10,000 to a development reserve and to pay a bonus of 2 ½% of the profit to the Directors as additional remuneration. The payment of the half-yearly dividend on Rs.2,50,000, 5% cumulative preference shares on 30th September, 2009 and 31st March, 2010 was confirmed and a dividend at the rate of 10% was declared on the equity share capital of the face value of Rs.3,00,000; the balance of profit and loss a/c to be carried forward to next year.

Make out profit and loss appropriation account showing the above arrangements.

14. Prepare a profit and loss alc of ABC Ltd., for 2010 from the following particulars.

	Rs.
Rent and taxes	72,000
Director's & Auditor's fees	16,800
Post & Telegrams	5,600
Sundry charges	6,800
Interest on fixed deposits	11,00,000
Salaries	2,16,000
Commission charged to customers	33,000
Discount on bills discounted	7,80,000
Interest on cash credit	8,92,000
Interest on current accounts	1,68,000
Interest on overdrafts	2,16,000
Interest on saving deposits	2,72,000
Printing	11,600
Interest on loan	10,38,000
Rebate on bills discounted	1,96,000

15. What is meant by electronic data processing? Explain the advantages and limitations of EDP system.

DE–6031 **22**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013

Second Semester

BANKING LAW AND PRACTICE

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the primary functions of a commercial bank?

2. Explain general crossing and special crossing?

3. What are the features of bankers right of lien?

4. Is a banker a privileged debtor?

5. Explain the various sources of funds for a bank.

6. What do you mean by 'payment in due course'?

7. State the points to be considered while advancing against stock exchange securities.

8. What are the duties of a collecting banker?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Examine the role of commercial banks in the Economic development.

10. Explain the general relationship between a banker and a customer.

11. Elaborate the factors that determine cash reserve funds in banks.

12. Distinguish between Current Account and Savings Bank Account.

13. Explain different types of endorsement.

14. Discuss the special features of various negotiable instruments.

15. Discuss in detail, the statutory protection granted to a paying banker under Sec. 85 of the Negotiable Instruments Act.

DE–6032 **23**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Second Semester

CENTRAL BANKING AND MONETARY MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define money market. Point out the characteristics of developed money market.

2. Enumerate the factors led to the growth of central banking in India.

3. State the limitations of credit creation by commercial banks.

4. What are the objectives of credit control?

5. How far monetary policy has reached its objectives? Explain.

6. Trace the evolution and organizational structure of RBI.

7. Write a note on control of RBI over methods of operation and management.

8. Bring out the relationship between RBI and export credit.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Why is Indian Money Market underdeveloped? Discuss.

10. Describe the functions performed by a central bank.

11. Outline the broad objectives of monetary policy. Critically examine them.

12. Discuss the importance of banking personnel training and education.

13. What are the instruments of general credit control? Explain.

14. 'Central bank performs commendable role in a developing economy' – Elucidate.

15. Explain in detail the RBI's supervision over commercial banks.

DE–6033 **24**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Second Semester

RURAL BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the functions of commercial banks.

2. Write a note on multi agency approach to agricultural credit.

3. What priority sector lending norms are stipulated for foreign banks by the Reserve Bank of India?

4. State and explain the features of bio-gas programme.

5. Explain the characteristic features of Self Employment to Educated Unemployed Youth.

6. What are the duties of lead bank officer?

7. Explain the objectives of District credit plan.

8. How SIDBI helps in developing rural areas.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the need for rural banking.

10. Explain the structure of Regional Rural Banks in India.

11. Can poverty alleviation programme in India be implemented? How?

12. Describe the functions of various committees set up under Lead Bank Scheme to ensure coordination.

13. Describe the various stages involved in the implementation of the Service Area Approach.

14. How Khadi and Village Industries Commission support rural development? Explain.

15. Describe the role of Reserve Bank of India in developing rural areas.

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DE–6034 **25**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Second Semester

BUSINESS ENVIRONMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the economic factors affecting business policies.

2. Write short notes on political and legal environment.

3. State the need for public control of business.

4. Write a note on 'Industrial Licensing policy'.

5. What is meant by 'Technology Transfer'?

6. Describe credit structure in India.

7. What are structural reforms?

8. State the problems faced by SSI.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the external factors affecting business policy of a firm.

10. Describe the socio– economic problems of India.

11. State the arguments for and against foreign capital in India.

12. Explain the financial Institution fiscal system in India.

13. Discuss the latest five year plans in India.

14. Describe the new economic policy 1991.

15. What do you mean by Privatisation? What are its forms? Explain.

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DE–6035 **31**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013

Third Semester

FINANCIAL MANAGEMENT

(2005 Onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Mention the importance of financial planning in an organization

2. What are the uses of Break Even Analysis?

3. What are the limitations of ratio analysis?

4. What are the objectives of inventory control?

5. What are the advantages and disadvantages of IRR?

6. What are the objectives of cash management in a firm?

7. Discuss the factors that affect capital investment decisions.

8. What are the benefits associated with accounts receivables?.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the modern approach to Financial Management.

10. How will you estimate working capital requirement of a company?

11. From the following Balance Sheets of Excel Ltd., make out a Cash Flow Statement :

Liabilities	2009 (Rs.)	2010 (Rs.)	Assets	2009 (Rs.)	2010 (Rs.)
Equity Share Capital	300000	400000	Goodwill	115000	90000
Preference Share capital	150000	100000	Land & Building	200000	170000
General Reserve	80000	120000	Plant	80000	200000
Profit & Loss	30000	48000	Debtors	160000	200000
Creditors	55000	83000	Stock	77000	109000
Bills Payable	62000	66000	Bills Receivable	20000	30000
			Cash in hand & Bank	25000	18000
	677000	817000		677000	817000

Depreciation of Rs. 10000 and Rs. 20000 have been charged on plant and Land and Building in 2010.

12. From the following information, prepare the Balance Sheet:

(a) Sales to net worth 5 times

(b) Current liabilities to net worth 50%

(c) Total debts to net worth 60%

(d) Fixed Assets to net worth 60%

(e) Current Ratio 2

(f) Sales to stock 10 times

(g) Debtors velocity 9 times

(h) Annual Sales Rs. 1500000

(i) Cash Sales 40% of sales.

13. A company budgets for a production of 150000 units . The variable cost per unit Rs.14 and fixed cost per unit Rs.2. The company fixes its selling price as Rs.20 per unit:

    (a) What is BEP?

    (b) What is Profit Volume Ratio?

    (c) If it reduces the selling price by 15%, how does the revised selling price affects the break even and P/V Ratio?

14. Using the information given below, compute

    (a) Pay Back Period

    (b) Net Present value 20 %

Initial Outlay		Rs. 60000
Estimated life		5 Years
Profit after tax	End of Year 1:	Rs. 6000
	End of Year 2 :	Rs. 14000
	End of Year 3 :	Rs. 20000
	End of Year 4 :	Rs. 10000
	End of Year 5 :	Rs. 12000

Depreciation is calculated under Straight Line Method. P.V of Re.1 at 20% p.a. is given below :

Year :	1	2	3	4	5
P.V. Factor :	.83	.69	.58	.48	.40

15. Explain operating and financial leverages with suitable example for each.

DE–6036 **32**

DISTANCE EDUCATION

M.B.A.(B & F) DEGREE EXAMINATION, MAY 2013.

Third Semester

PROJECT FINANCE

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)
Answer any FIVE questions.

1. State the need for project formulation.

2. How does venture capital differ from ordinary capital?

3. Why is leasing preferred as a source of finance?

4. Why do the bankers make pre-sanction appraisal on the project?

5. Explain the implication of debt-equity ratio.

6. What are the uses of break even analysis?

7. Explain cost-benefit analysis in the evaluation of a project.

8. What are the symptoms of a sick unit?

SECTION B — (4 × 15 = 60 marks)
Answer any FOUR questions.

9. What are the stages in a project life cycle ? Explain them in detail.

10. Discuss the innovative instruments in the capital market.

11. Bring out the factors that determine the fixed capital requirements of a company.

12. Explain the lending process adopted by the financial institutions for a project.

13. How is economic analysis made in respect of a project before sanctioning the loan?

14. What are the measures taken by the government to rehabilitate the sick units?

15. Discuss the advantages and disadvantages of issue of shares.

DE–6037 **33**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Third Semester

INTERNATIONAL BANKING AND FOREIGN EXCHANGE

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Write down the meaning and objectives of foreign exchange.

2. What are the functions of Vostro Account?

3. State the effects of LERMS on exchange rates.

4. Write a note on SWIFT.

5. What are the objectives of exchange control?

6. Why do we need uniform customs practice?

7. State the procedure for collection of export bills.

8. Point out the advantages of loan syndication.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Describe the administration of foreign exchange.

10. How will you select the exchange rates on forward trades?

11. Evaluate the exchange control regulations regarding exports from India.

12. Critically analyse the foreign trade policy of a country.

13. What are the different types of letter of credit? Explain the mechanism of letter of credit.

14. Explain the financing facilities available to exporters.

15. Describe the guarantees provided by the ECGC of India.

DE–6038 **34**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Third Semester

MANAGEMENT INFORMATION SYSTEM

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the concept of global village.

2. Describe the structure of MIS.

3. State the characteristics of a system and explain different types of system.

4. What are the features of an artificial intelligence system?

5. Explain the role of video conferencing in the communication system.

6. What are the characteristics of ERP?

7. What are the reasons for the growth of e-commerce?

8. Outline the working features of value added networks.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the system development life cycle.

10. What are the pre-requisites of an effective MIS?

11. Explain different communication channels used in MIS.

12. Explain the concept of client-server computing.

13. Explain the applications of EDI.

14. What are the business uses of internet?

15. Explain different types of testing in the software development.

DE–6039 **35**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Third Semester

COMPUTERS AND BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the features of first and second generation computers?

2. Explain binary system with examples.

3. Explain different types of memory.

4. What are peripheral controllers?

5. What are the functions of an operating system?

6. What is the need for language translators?

7. Write a note on home banking.

8. What are the features of EFT?

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. How are computers classified? Explain them.

10. Explain the working of a computer with the help of a block diagram.

11. What are the features of high level language and machine language?

12. Explain different types of networks.

13. How are inter-branch transactions carried out with the help of computers in banks?

14. What are the security measures to be taken to prevent damage to computers?

15. Explain any five input devices used in computers.

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DE–6040 **36**

DISTANCE EDUCATION

M.B.A. (B&F) DEGREE EXAMINATION, APRIL 2013

Third Semester

QUANTITATIVE METHODS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Solve the following LPP graphically:

   Minimise $Z=6x1+4x2$

   Subject to $10x1+8x2 >=160$

   $20x1+10x2 >=220$

   $x1,x2>=0$

2. Explain marginal cost and average cost.

3. Explain the applications of simulation technique.

4. Explain the concept of trade off.

5. How is sensitivity analysis useful in decision making?

6. What do you mean by linear and non-linear variables?

7. What do you mean by decision under uncertainties?

8. Explain conditional probability with an example.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. A company has to choose any one of the following. The amount of estimated sales and the estimated revenue therefrom are given below:

Scheme	Revenue		
	Estimated amount of Sales (Rs. in lakhs)		
	500	400	300
Alto	70	55	45
Alto LX	55	65	35
Alto Lxi	40	55	60

Suggest the product to be adopted using

(a) Maximin Criterion

(b) Minimax Criterion

(c) Maximax Criterion and Laplace Criterion.

10. Find an economic solution for the following Transportation Problem:

		Destination				
		D1	D2	D3	D4	Supply
	O1	2	4	6	11	50
	O2	10	8	7	5	70
Origin	O3	13	3	9	12	30
	O4	4	6	8	3	50
Demand		25	40	105	30	

11. Solve the following LPP using Simplex Method:

Maximise $z = 4x_1 + 10x2$

Subject to $2x_1 + x_2 <= 100$

$2x_1 + 5x_2 <= 200$

$2x_1 + 3x_2 <= 180$

$x1, x2 >= 0$.

12. A company manufactures 30 items per day. The sale of these items depends on demand which has the following distribution:

Sales (units) :	27	28	29	30	31	32
Probability :	.10	.15	.20	.35	.15	.05

The production cost and sale price of each unit are Rs.40 and Rs.50 respectively. The unsold product is disposed at loss of Rs. 15 per unit. Using the following sequence of random numbers, estimate the total profit for the company for the next 10 days:

48 78 19 51 56 77 15 14 68 9

13. Explain Decision Tree with an example.

14. The chance of an accident in a factory in a year is 10 in 50 in Mumbai, 10 in 60 in Puna and 10 in 120 in Nagpur. Find the chances that an accident may occur in i). atleast one of these cities and ii). all of these cities.

15. A diet conscious housewife wishes to ensure certain minimum intake of vitamins A, B and C for the family. The minimum daily requirements are A 30, B 20 and C 16 units. For the supply of these three vitamins, the housewife relies on two fresh foods. The first one provides 7, 5 and 2 units of the three vitamins per gram respectively and the second one provides 2, 4 and 8 units of the three vitamins per gram respectively. The first food

costs Rs.3 per gram and the second one Rs.2 per gram. Howmany grams should the housewife buy to keep her food as low as possible. Formulate the above problem into an LPP. After the formulation of above problem, convert into a dual.

DE–6041 **41**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Fourth Semester

BANK MARKETING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Discuss the objectives of bank marketing.
2. Explain SWOT analysis.
3. What is product development in bank marketing?
4. What is branch layout? Explain the factors to be considered for an effective layout.
5. How can price be fixed in bank marketing?
6. What are the characteristics of good promotional mix in bank marketing?
7. Write a short note on 'Direct marketing'.
8. What are the areas of training programme in Bank marketing?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the components of bank marketing mix.
10. Explain different processes for 'New Product Development in Banks'.

11. What are the factors to be considered while selecting a location for a bank branch?

12. Enumerate the role of pricing in bank marketing.

13. Explain different components of promotion mix that helps you in promoting the banking business.

14. Explain the role of marketing officer at branch level.

15. Highlight the future of bank marketing in India.

DE–6042 **42**

DISTANCE EDUCATION

M.B.A.(B&F) DEGREE EXAMINATION, MAY 2013

Fourth Semester

INVESTMENT ANALYSIS AND PORTFOLIO MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the importance of investment.

2. Define the term speculation and explain why individuals speculate.

3. Write a note on market risk.

4. Briefly discuss about the various types of provident fund schemes.

5. Calculate expected rate of return from the following data.

Security	No. of shares in portfolio	Initial Market Value	Investment amount	End market value
Tata	100	40	4,000	50
HLL	200	35	7,000	45
Birla	100	62	6,200	75

6. Distinguish between security analysis and portfolio management.

7. What is security market line? Explain.

8. Explain the assumptions of Random Walk theory.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. "Investment opportunities are available to the investor in many types and in many combinations within each type", Elucidate this statement.

10. Discuss about the various types of unsystematic risks.

11. Yogesh owns a portfolio of two securities with the following expected returns, standard deviation and weights :

Security	Expected return	Std. deviation	Weight
S	15%	18%	0.30
M	20%	23%	0.70

What are the minimum and minimum portfolio standard deviations for varying levels of correlation between two securities?

12. Explain the aspects of company analysis.

13. Explain the portfolio management process.

14. Explain the concept of Dow theory.

15. What is a formula plan? Discuss its merits and demerits.

DE–6043 **43**

DISTANCE EDUCATION

M.B.A. (B&F) DEGREE EXAMINATION, MAY 2013.

Fourth Semester

INVESTMENT AND DERIVATIVES MARKETS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is the nature of Debt market?

2. Give an account of convexity theorem on debt pricing.

3. Discuss the importance of debt portfolio management.

4. Explain the process of passive immunisation.

5. What are the special features of equity market?

6. How will you value equity shares under zero growth model?

7. What are index options?

8. State the significance of Government securities market.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Critically evaluate the functioning of Debt market in India.

10. Explain the various debt instruments prevailing in the market.

11. Substantiate the growth of equity market in the recent past two decades.

12. How are the shares being valued through PE ratios?

13. Distinguish between operation of debt and equity markets.

14. Explain the various types of options.

15. Describe the operating functions of futures market.

DE–6044 **44**

DISTANCE EDUCATION

M.B.A. (B & F) DEGREE EXAMINATION, MAY 2013.

Fourth Semester

MUTUAL FUND MANAGEMENT

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the attributes of mutual funds.

2. Explain the significance of mutual funds in the economic development of the country.

3. What are the duties of trustees towards mutual funds?

4. Discuss any five functions of AMC.

5. What are the objectives of portfolio management?

6. Explain the valuation system for NAV in mutual funds.

7. State the relationship between pricing of units of Net Assets Value.

8. Explain close ended scheme with its merits.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What are the advantages of mutual fund investment?

10. Explain the constitution and organization of mutual funds in India.

11. Explain the role of SEBI in the regulation of mutual funds in India.

12. What are the disclosure norms regarding mutual funds?

13. Explain the performance of private sector mutual funds in India.

14. What are the challenges for mutual funds in India in the liberalized scenario?

15. How are mutual fund schemes designed and launched in India?

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DE–6045 **45**

DISTANCE EDUCATION

M.B.A.(B & F) DEGREE EXAMINATION, MAY 2013.

Fourth Semester

MERCHANT BANKING

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is underwriting? What are its types?

2. Explain the advisory role of a Merchant banker.

3. What are the steps involved in loan syndication?

4. Bring out the features of Indian capital market.

5. Explain the functions of New issue market.

6. State the importance of venture capital.

7. Explain the objectives of amalgamation.

8. Define mutual fund. What are the risks associated with mutual funds?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the role of NSE and OTCEI.

10. Discuss the role of SEBI in regulating merchant banking.

11. What is Loan Syndication? State and explain its steps.

12. Describe the procedure for amalgamation of companies.

13. Explain the role of a merchant banker in listing of securities in stock exchange.

14. Explain the different types of mergers. Also state the role of a merchant banker in connection with merger.

15. Critically examine the functions of portfolio managers.